Risk And Controls

Information used in a control (IUC) training

Upon completion of this training, you will understand...

- What is information used in control (IUC)
- What are the various types of reports
- Use of the IUC Template
- Example IUC Checks in Practice

Reminder

IUC procedures are requirements for Internal Controls over Financial Reporting (ICFR) and something both Internal Audit and External Audit will test against when evaluating individual controls.

Even if you perform all of your control steps but are missing the report validation procedures, the control will fail. This is why we want to ensure you understand what these expectations are to help you satisfy them.

INFORMATION USED IN CONTROL (IUC)

Key reports and spreadsheets that are used in the execution of a control are also referred to as “Information used in a control” or “IUC”



Control Owner must verify the completeness and accuracy of data used when performing a control.

STANDARD REPORT

What is a Standard Report?

- Off the shelf/delivered from the vendor
- Cannot be modified; Can typically specify period, company etc.
- No customization of input/output

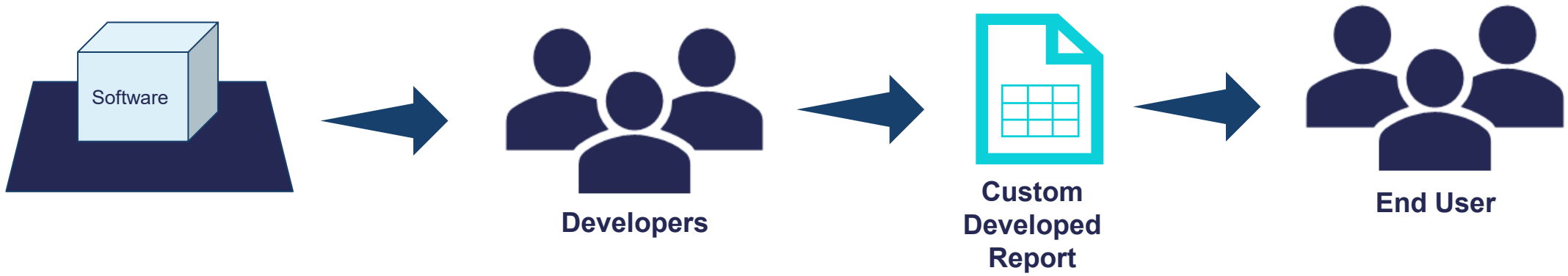
EXAMPLES: Trial Balance, Aged Accounts Payable balances



CUSTOM DEVELOPED REPORT

What is a Custom Developed Report?

- Report developed by Opco IT, WPP Global IT or 3rd party developers for WPP's specific use
- IT creates the report leveraging its standard development controls and user testing confirmations
- User accesses the same report within the system and typically specifies date range

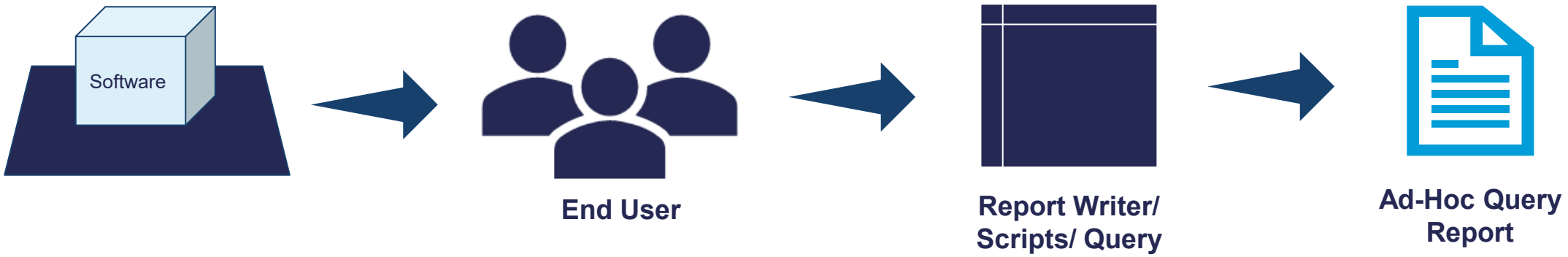


AD-HOC QUERY REPORT

What is an Ad-Hoc Query Report?

- User uses scripts or accesses report writers or query tools each time the control is performed
- User typically specifies not just the date range, but the type of data as well

EXAMPLE: Report from BI Tool or SQL Queries



MANUALLY DEVELOPED REPORT

What is a Manually Developed Report?

- Manually prepared either from information generated from the entity's system or from other internal or external sources.

EXAMPLES: List of leases maintained manually in Excel, Depreciation schedule in Excel that calculates the monthly journal entry based on defined policy terms



INFORMATION USED IN A CONTROL - CONCEPTS

Parameters

"Did I pull the data from the system that I intended to - date ranges, accounts, company codes, etc.?"

Completeness

"Is everything that should be present in the document included?"

and

"Is anything included in the document that should not be present?"

+

Accuracy

"Is the output of the report the same as what is in the system"

Formulas

"Is the calculation pulling in the data I intended?"

and

"Is my calculation designed to result in what I intended?"



See the "WPP Key Reports and Spreadsheets (IUC) Guidance" for additional details

INFORMATION USED IN A CONTROL - GUIDANCE

For each of the four types of key reports, there are two types of outputs:

1. Non-Modifiable (i.e. PDF)
2. Modifiable (i.e. Excel)

The combination of report type and output type results in required IUC procedures as described in the **"WPP Key Reports and Spreadsheet (IUC) Guidance"**

<table>
<tr><th>(A) Parameters</th><th>(B) Completeness</th><th>(C) Accuracy</th><th>(D) Formulas</th></tr>
<tr><td rowspan="2">Reviewer verifies proper parameters were used as applicable.

Relevant parameters may include:
• Date range
• Accounts
• Locations

Maintain evidence of parameters used potentially via a screenshot of the system entries prior to running the report.</td><td>Reviewer verifies the output matches system data.

Maintain a screenshot of the system totals (value and/or counts) to match to modifiable output (i.e spreadsheet output).
or
Download a non-modifiable version of the output to match to the modifiable output.</td><td>Reviewer verifies the relevant key fields in the output are accurate per the system data.

If the specific control performance is dependent upon accuracy of key fields (i.e not just total AR balance but only AR aging in 90+ days bucket) then verification of the system screenshot subtotal in that individual field matches to the field within the modifiable output.</td><td rowspan="2">Reviewer validates the accuracy of formulas.

By recalculating any manual calculations in the report.
or
Including formula checks in locked cells within the spreadsheet that identifies errors.
and/or
Checking the accuracy of formulas used in the report.</td></tr>
<tr><td colspan="2">If based on the nature of the report, totals of subtotals are not included, evidence of individual line/transaction validation should be performed on a sample basis (minimum of 10 or 10%, whichever is lower)</td></tr>
</table>

KNOWLEDGE CHECK

True or False:

IUC procedures revolve around four concepts:

- Parameters
- Completeness
- Accuracy
- Formulas



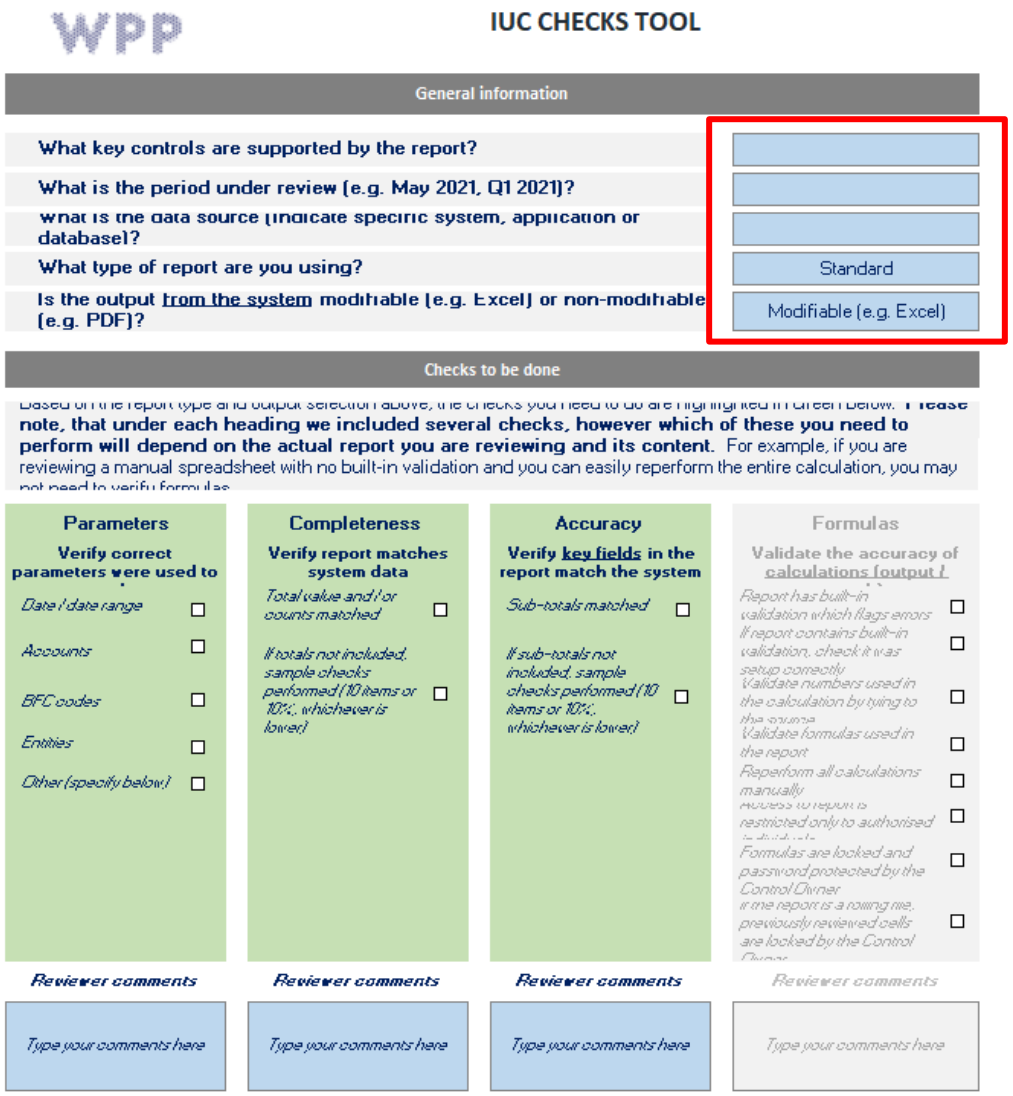
The required IUC procedure to be performed is determined only by the report type.



An excel report generated from the system which is then converted to pdf by the end user, is considered a non-modifiable report.



MACRO-BASED TEMPLATE



WPP

IUC CHECKS TOOL

General information

What key controls are supported by the report?	
What is the period under review (e.g. May 2021, Q1 2021)?	
What is the data source (indicate specific system, application or database)?	
What type of report are you using?	Standard
Is the output from the system modifiable (e.g. Excel) or non-modifiable (e.g. PDF)?	Modifiable (e.g. Excel)

Checks to be done

Based on the report type and output selection above, the checks you need to do are highlighted in green below. **Please note, that under each heading we included several checks, however which of these you need to perform will depend on the actual report you are reviewing and its content.** For example, if you are reviewing a manual spreadsheet with no built-in validation and you can easily reperform the entire calculation, you may not need to verify formulas.

Parameters	Completeness	Accuracy	Formulas
Verify correct parameters were used to	**Verify report matches system data**	**Verify key fields in the report match the system**	**Validate the accuracy of calculations (output)**
Date / date range ☐	*Total value and / or counts matched* ☐	*Sub-totals matched* ☐	*Report has built-in validation which flags errors* ☐
Accounts ☐	*If totals not included, sample checks performed (10 items or 10%, whichever is lower)* ☐	*If sub-totals not included, sample checks performed (10 items or 10%, whichever is lower)* ☐	*If report contains built-in validation, check it was setup correctly* ☐
BFC codes ☐			*Validate numbers used in the calculation by tying to the source* ☐
Entities ☐			*Validate formulas used in the report* ☐
Other (specify below) ☐			*Reperform all calculations manually* ☐
			Access to report is restricted only to authorised individuals ☐
			Formulas are locked and password protected by the Control Owner ☐
			If the report is a rolling file, previously reviewed cells are locked by the Control Owner ☐
Reviewer comments	*Reviewer comments*	*Reviewer comments*	*Reviewer comments*
Type your comments here	*Type your comments here*	*Type your comments here*	*Type your comments here*

Examples of evidence

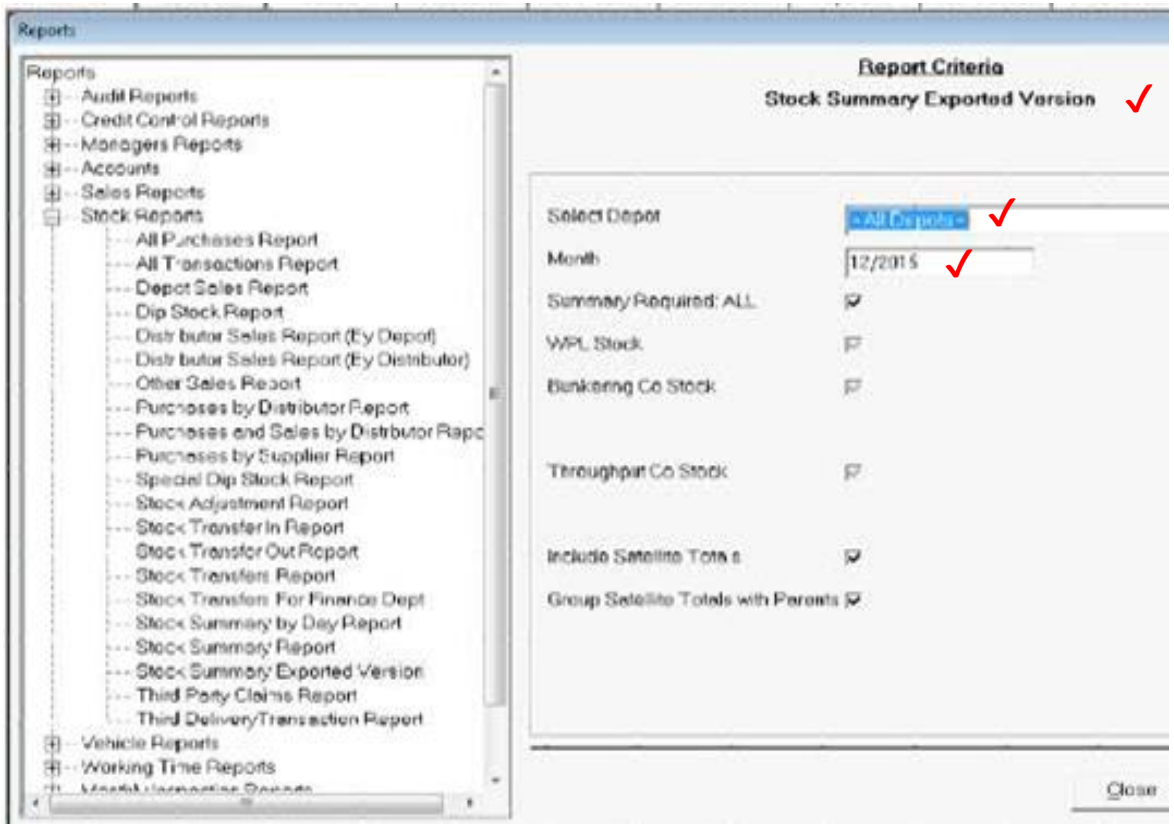
Screenshot of system parameters ☐	*Screenshot of system totals (value or count)* ☐	*Screenshot of system sub-totals (value or count)* ☐	*Tick marks and notations documenting checks performed* ☐
Underlined or ticked parameters if shown on the report ☐	*Hash totals (if two reports are compared)* ☐	*Tick marks and notations on samples checked* ☐	*Screenshot of the amount used in calculation* ☐
	Download of the same report in PDF showing totals. ☐	*Download of the same report in PDF showing totals* ☐	*Other source documentation to support data validation* ☐
Reviewer comments	*Reviewer comments*	*Reviewer comments*	*Reviewer comments*
Type your comments here	*Type your comments here*	*Type your comments here*	*Type your comments here*

Review Details

Reviewer Name	
Job Title	
Review Date	

EXAMPLES OF KEY REPORT PROCEDURES

1 Validate Parameters - System Screen



2 Tie-out totals (completeness) – Output Report

			Aged Totals:	Due $1,918.61	$0.00	$0.00	$0.00	$1,918.61
ravel			Class ID: CAN-ALL-M		Type:	Other Expenses		
e	Doc Amount	Disc Date	Disc Avail	Writeoff Amount	Current Period	1 - 30 Days	31 - 60 Days	61 and Over
4	$8,547.23							$8,547.23
			Aged Totals:	Due $8,547.23	$0.00	$0.00	$0.00	$8,547.23
nerica Telephone Co.			Class ID: USA-US-M		Type:	Other Expenses		
e	Doc Amount	Disc Date	Disc Avail	Writeoff Amount	Current Period	1 - 30 Days	31 - 60 Days	61 and Over
	($18,790.78)				($18,790.78)			
	$24,112.75							$24,112.75
								($187.91)
			Aged Totals:	Due $5,134.06	($18,790.78)	$0.00	$0.00	$23,924.84
unction Service			Class ID: USA-US-M		Type:	Other Expenses		
e	Doc Amount	Disc Date	Disc Avail	Writeoff Amount	Current Period	1 - 30 Days	31 - 60 Days	61 and Over
	$318.33							$318.33
4	$672.56							$672.56
			Aged Totals:	Due $990.89	$0.00	$0.00	$0.00	$990.89
			Vendors	Due	Current Period	1 - 30 Days	31 - 60 Days	61 and Over
Vendor Totals:			68	$1,804,113.50	$74,000.61	$429.43	$0.00	$1,729,683.46

Totals from this Excel report agree to a PDF report or System Screenshot

HYPOTHETICAL

EXAMPLES OF KEY REPORT PROCEDURES

3 Tie-out Sample Details (Accuracy)

Control: Calculating rebate accruals based on **media type**

Because the calculation of rebate accruals is based on a percentage of the media type (for example 10% for TV, 15% for Radio), for **accuracy purposes, the reviewer must tie out the subtotal(s) used in the review and not just "Total Media".**

System Screen

TV 1	$15,000
TV 2	$50,000
TV 3	$120,000
Sub-Total TV	**$185,000**
Radio 1	$50,000
Radio 2	$70,000
Radio 3	$90,000
Sub-Total Radio	**$210,000**
TOTAL MEDIA	**$395,000**

Output Report

TV 1	$15,000
TV 2	$50,000
TV 3	$120,000
Sub-Total TV	**$185,000**
Radio 1	$50,000
Radio 2	$70,000
Radio 3	$90,000
Sub-Total Radio	**$210,000**
TOTAL MEDIA	**$395,000**

HYPOTHETICAL

EXAMPLES OF KEY REPORT PROCEDURES

3 Tie-out Sample Details (Accuracy)

If the control itself is the validation of accuracy OR if there are no sub-totals or line items that are critical to the control performance, then IUC accuracy procedures do not need to be performed.

Example Reports for controls that do not need ACCURACY element to be tied back to a PDF screenshot or System Screenshot:

1. Pulling the report of the GL Bank Balance to reconcile to the Bank Statements

2. Pulling a report to validate to supporting documentation, such as review of vendor change report against pre-existing supporting documentation

3. Pulling a report of the vacation accrual booked the previous month, to create a reversing JE.



You must still perform Parameters, Completeness or Formula checks per the IUC guidance for these "Accuracy excluded" controls.

ADDITIONAL IUC PROCEDURES

Considerations for manually prepared / non-system generated reports



Access Restriction

- Access to the file is restricted only to relevant individuals within the department, or to individuals whose job scope involves reviewing or utilizing the file.



Formulas

- Formulas are locked/ password protected and owned by the control owner.
- If the formulas are not locked, the control owner must re-review all formulas to ensure it was not inappropriately manipulated after the control owner's review each time the control occurs.
- Some of the ways you can evidence the review of these formulas includes adding a checkmark or commentary next to formulas checked.



Prior Period Data

- If the file is a rolling file, unless there is an approach to easily identify edit trails, previously reviewed cells should be locked by the control owner.
- The control owner must be able to prove that the data file has not been manipulated or changed inappropriately after the control owner's review.



During the review of the control of which the report is utilized, the control owner should document how the above steps were performed as part of the IUC procedures.

ADDITIONAL IUC EXAMPLE 1 – Non-modifiable Report

1 Validate Parameters - System Screen

Source: AP Manager

Vendor Change Report Parameters

AP Vendor Changes

USER_ENTERED

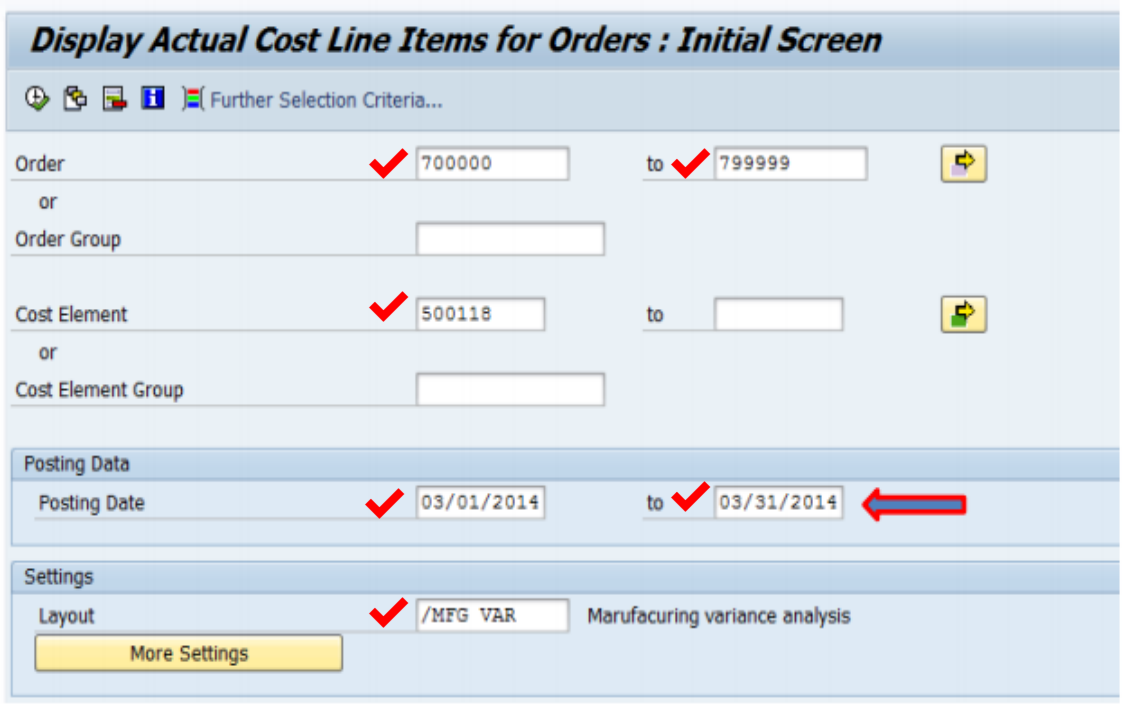
Run on System : [redacted]
Run on Date : 2019-08-27
Rerun? : N
From Date : 2019/08/19 ✓
To Date : 2019/08/26 ✓
Company : 10 ✓

MAS 8/27

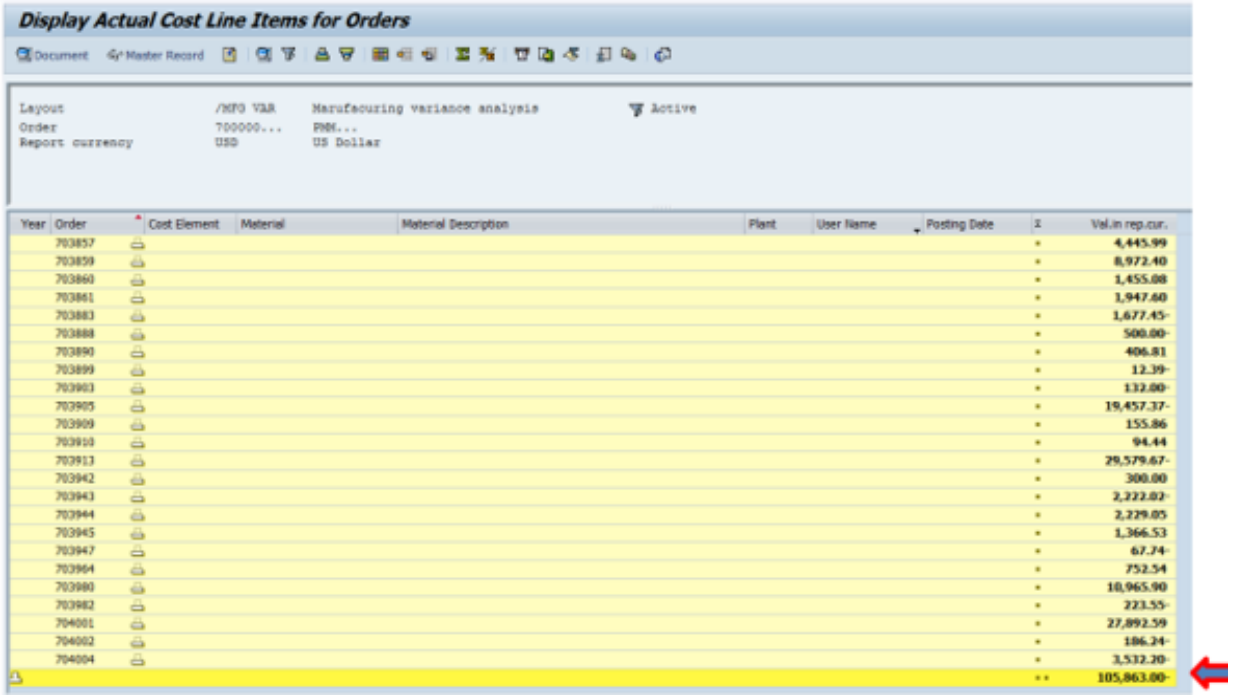
AP Manager reviewed the parameters and confirmed that the right Parameters were used (the right company code 10, and the since this is a weekly review, the right date ranges were used (8/19 - 8/26)

ADDITIONAL IUC EXAMPLE 2 - Modifiable Report

1 Validate Parameters - System Screen



2 Tie-out totals (completeness) – Output Report



= $105,863.00 ✓

ADDITIONAL IUC EXAMPLE 2 - Modifiable Report (Continued)

2 Tie-out totals (completeness) – Output Report

F1658

	A	B	C	D	E	F	G	H	I
324	2014	704001	500120	101785	MINI BULK, ECOTAINER W.P. NF 275 GAL	MCAD	TO_MCAD	3/19/2014	872.20
325	2014	704001	500120	101910	PROPYLENE GLYCOL	MCAD	TO_MCAD	3/26/2014	15.36
326	2014	704001	500120	102855	SODIUM CARBONATE ANHYDROUS	MCAD	TO_MCAD	3/26/2014	8.97
327	2014	704001	500120	102864	FLUROXYPYR-MEPTYL TECH NUFARM (POWDER)	MCAD	TO_MCAD	3/26/2014	2281.44
328	2014	704001	500120	100645	Kelzan (Xanthum Gum)25kg Bag	MCAD	TO_MCAD	3/26/2014	43.84
329	2014	704001	500120	102855	SODIUM CARBONATE ANHYDROUS	MCAD	TO_MCAD	3/26/2014	10.87
330	2014	704001	500120	102864	FLUROXYPYR-MEPTYL TECH NUFARM (POWDER)	MCAD	TO_MCAD	3/26/2014	2269.68
331	2014	704001	500140	10713	RAZE SC 280OZ (US)	MCAD	TO_MCAD	3/28/2014	49511.33
332	2014	704001	500140	EVRTECHBLKSSKR	EVEREST TECHNICAL BULK KR	MCAD	TO_MCAD	3/28/2014	4217.96
333	2014	704001	500140	10713	RAZE SC 280OZ (US)	MCAD	TO_MCAD	3/28/2014	46172.42
334	2014	704001	500140	EVRTECHBLKSSKR	EVEREST TECHNICAL BULK KR	MCAD	TO_MCAD	3/28/2014	2530.78
335	2014	704001	500140	10713	RAZE SC 280OZ (US)	MCAD	TO_MCAD	3/25/2014	48271.17
336	2014	704001	500140	10713	RAZE SC 280OZ (US)	MCAD	TO_MCAD	3/25/2014	49415.94
337	2014	704001	500140	EVRTECHBLKSSKR	EVEREST TECHNICAL BULK KR	MCAD	TO_MCAD	3/25/2014	3479.82
338	2014	704001	500140	10713	RAZE SC 280OZ (US)	MCAD	TO_MCAD	3/26/2014	53804.22
339	2014	704001	500140	10713	RAZE SC 280OZ (US)	MCAD	TO_MCAD	3/19/2014	47889.58
340	2014	704001	500140	EVRTECHBLKSSKR	EVEREST TECHNICAL BULK KR	MCAD	TO_MCAD	3/26/2014	3427.09
341	2014	704001	500140	EVRTECHBLKSSKR	EVEREST TECHNICAL BULK KR	MCAD	TO_MCAD	3/26/2014	3954.35
343	2014	704001	500160	103223	RAZE SC WIP (WINFIELD)	MCAD	TO_MCAD	3/28/2014	-61433.83
344	2014	704001	500160	103223	RAZE SC WIP (WINFIELD)	MCAD	TO_MCAD	3/28/2014	-59473.72
345	2014	704001	500160	103223	RAZE SC WIP (WINFIELD)	MCAD	TO_MCAD	3/25/2014	-117193.67
346	2014	704001	500160	103223	RAZE SC WIP (WINFIELD)	MCAD	TO_MCAD	3/26/2014	-59628.47
347	2014	704001	500160	103223	RAZE SC WIP (WINFIELD)	MCAD	TO_MCAD	3/19/2014	-55708.26
348	2014	704001	500160	103223	RAZE SC WIP (WINFIELD)	MCAD	TO_MCAD	3/26/2014	-2218.01
350	2014	704002	500160	10845	SMARTBOY, EVEREST 2.0 10x1.937L (CN)	MCAD	MNORIEGA	3/19/2014	186.24
351	2014	704004	500118	103459-F	FORM, EVEREST 2.0 WIP EXPORT	MCAD	MNORIEGA	3/31/2014	2748.20
352	2014	704004	500120	101785	MINI BULK, ECOTAINER W.P. NF 275 GAL	MCAD	TO_MCAD	3/28/2014	784.00
353	2014	704004	500130	103331	EVEREST 2.0 WIP V.2	MCAD	TO_MCAD	3/28/2014	120288.96
355	2014	704004	500160	103459	EVEREST 2.0 WIP EXPORT	MCAD	TO_MCAD	3/28/2014	-120288.96
356								Total	105,863.00
357									
358									

= $105,863.00 ✔

User Name (Multiple Items)

Sum of VaLin rep.cur.

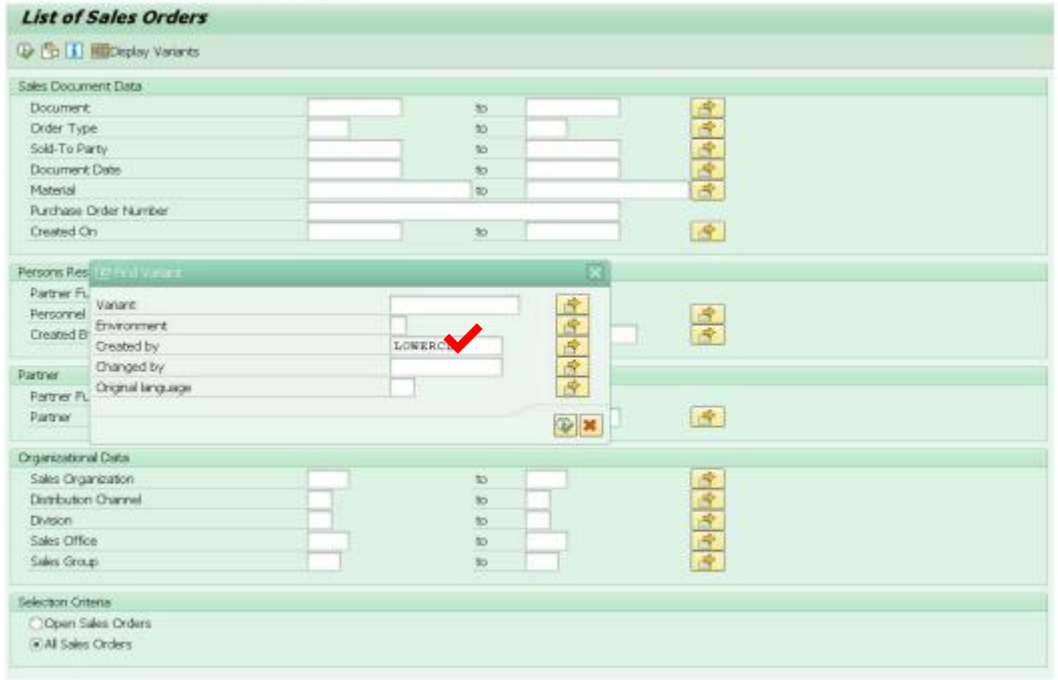
Plant	Order	Material	Material Description	Total	Capitalize	Affiliate		
AYMM	702935	100172	Booklet, Captevate 68 WDG 10.5lb Bag	1,396.11				
	702935 Total			26,693.88	26,693.88		Captevate rework - Complete	60K left in reserve. Posting to come?
	703391	10097-F	CAPTAN 50WP,10X5 LB,US,MFC Formulation	(2,249.22)				
	703391 Total			(2,249.22)				
	703392 Total			(14,997.55)			Favorable F line, .18 per LB	No OH key
	703697	101931	CAPTAN TECHNICAL 90% MIN (MANA)	131,118.75				
	703612 Total			(6,419.27)			Overfilled bags .05%	6400 OH key
	703854	10976-F	FORM, INFERNO DUO 1018 GR (CN)	1,537.72				
	703854 Total			1,537.72				
	703890 Total			(10,965.90)	(10,965.90)		Defer for Sales	Shrink
BPWH Total				(18,823.63)				
CJVD	703651	103153	FLUTRIAFOL 76% TECHNICAL ARYSTA	24,845.23	24,845.23		Previous campaign ADJ	
	703651 Total			24,845.23				
	703664	10896-F	FORTIX 2x2.5GL (ARYSTA) FORMULATION	(1,149.25)				
	703346 Total			4,359.00			6 LB pour up, Higher formulation	2.30/GL, pour up charged on F line, check LCM
	703375	101677	BOTTLE,PLA,2.5GAL,W,NONFLU,TE,ABO,F-STY	3,583.04				
	703375 Total			140.63			Higher F line	1.12/GL, check LCM
	703649 Total			13,136.61				Check LCM
	703843 Total			2,222.02				Ecocontainers used not in the BOM
	703650	100645	Kelzan (Xanthum Gum)25kg Bag	3,457.88				
	703650 Total			(12,927.44)				Fluox tech on .002% overconsume over whole campaign
	703945	103313	WIP, SELECT 2 EC 200L, VIETNAM	5,956.85				
		11823	REKNOWIN 2EC 250ml, THAILAND	(7,323.38)				
	703945 Total			(1,366.53)				
VIRP Total				(1,797.71)	149,354.18	3,532.29		
Grand Total				105,863.00				

= $105,863.00 ✔

ADDITIONAL IUC EXAMPLE 3 - Modifiable Report

1 Validate Parameters - System Screen

Pulling the Return Sales Order Report From SAP:
VA05: Choose the Variant by LOWERCL



PREPARER Enter the DATES needed in the Created On Boxes: For this report 8/1/18 to 08/31/2018

2 Tie-out totals (completeness) – Output Report

3 Tie-out Sample Details (Accuracy)

PREPARER would sort the list by Sales Document # in Descending Order, to make matching easier.
TAKE SCREENSHOT and include in review package



Guidance Note: A maximum sample of 5 tie out from report to screenshot AND 5 tie outs from screenshot to report is typically sufficient.

ADDITIONAL IUC EXAMPLE 3 - Modifiable Report (Continued)

2 Tie-out Output (completeness) – Output Report

3 Tie-out Sample Details (Accuracy)

Compare to the excel file where the preparer performed the control. Given there are no total sums to reconcile to confirm Completeness, the reviewer tallied the total number of rows to confirm Completeness.
Reviewer selected a sample of rows from the screenshot to reconcile to the excel report to confirm Accuracy of the line item value.

	A	B	C	D	E	F	G	H	I
1	DOC #	Sales Document	Document Date	Purchase Order Number (Header)	Sold-to party	Sold-To Party Name	Net Value (Header)	Overall Status	Created by
2	1002883490	1002883490	8/1/2018	[redacted]	2218901	BED BATH & BEYOND	84.37	C	[redacted]
3	1002887204	1002887204	8/1/2018		2211657	K ROCKEFELLER REVLON	166.39	C	
4	1002888273	1002888273	8/1/2018		2218927	BED BATH & BEYOND	346.95	C	
5	1002888280	1002888280	8/1/2018		2228693	L&R DIST	1,478.47	C	
6	1002888346	1002888346	8/1/2018		2211657	K ROCKEFELLER REVLON	214.16	C	
7	1002888355	1002888355	8/1/2018		2218941	BED BATH & BEYOND	5.99	C	
8	1002891616	1002891616	8/1/2018		2227429	BED BATH & BEYOND	25.41	C	
9	1002892063	1002892063	8/1/2018		2218867	BED BATH & BEYOND	33.88	C	
10	1002892066	1002892066	8/1/2018		2230074	BED BATH & BEYOND	268.39	C	
11	1002892946	1002892946	8/3/2018		2218997	BED BATH & BEYOND	113.57	C	
12	1002892953	1002892953	8/1/2018		2219489	BED BATH & BEYOND	171.57	C	
13	1002892954	1002892954	8/1/2018		2218965	BED BATH & BEYOND	16.94	C	
14	1002892972	1002892972	8/1/2018		2242105	HARMON	5.24	C	
15	1002892973	1002892973	8/1/2018		2218972	BED BATH & BEYOND	137.13	C	
16	1002892974	1002892974	8/1/2018		2228422	ULTA	25.21	C	
17	1002894323	1002894323	8/1/2018		2228677	CHRISTMAS TREE SHOPS	48.60	C	
18	1002894324	1002894324	8/1/2018		2211657	K ROCKEFELLER REVLON	125.08	C	

= $84.37 ✔

= $25.41 ✔

= $16.94 ✔

= $137.13 ✔

= $125.08 ✔

849 ROWS in total

Tallies to the screenshot above, 849 rows for Completeness

= 849 rows ✔

Guidance Note: A minimum sample of 5 tie out from report to screenshot is typically sufficient.

IUC PROCEDURES – WHEN & WHO

When are IUC procedures required?

If any report(s) or spreadsheets(s) are used in the operation of the control, Control Owner confirms the completeness and accuracy of these items per Key Reports and Spreadsheets guidelines

Who performs IUC procedures?

Reviewer performs IUC Procedures independently or review evidence that the preparer has completed the IUC procedures.

E.g., SSC prepares the package including IUC evidence for the reviewer to review.

SUMMARY

- IUC Procedures are requirements for ICFR and something both Internal Audit and External Audit will test against when evaluating individual controls.

- A control will be classed as a deficiency if the IUC checks are not correct, even if all other steps of the control operated effectively and were sufficiently evidenced.

- There are four types of key reports; Standard, Custom Developed, Ad-hoc Query, and Manually Developed key reports. The IUC checks required vary based on the type of report.

- The four checks that are required are accuracy, completeness, parameters and formulas.

- IUC procedures are only required for Key Financial Controls.

KNOWLEDGE CHECK

True or False:

A Control Owner needs to perform IUC procedures over all reports and spreadsheets, regardless of whether they are used in the operation of the control.



Some additional considerations to be documented as part of the IUC procedures for manually prepared / non-system generated reports include:

- Restricting access of the file to relevant individuals
- Locking / password protecting formulas
- Locking previously reviewed prior period data cells



A control will be considered effective even if the IUC checks are incorrect, this is because all other steps of the control are operating effectively and sufficiently evidenced.



THANK YOU

WPP